

Risk of US-Iran escalation is rising

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Escalation risk ticks up as Trump ponders bombing after midterms

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Both Iran and the US are preparing for a significant escalation in the conflict (35%, up from 25%), given the lack of progress around a deal (10%, down from 15%).

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A protracted standoff remains the most likely scenario (55%, down from 60%) through the rest of the year, due to the risks both sides face in significantly escalating.

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Iran will maintain pressure on the US with more aggressive strikes on shipping, while the US will consider escalation options after the midterm elections—if regional output falls due to Iranian attacks, the case for US escalation will strengthen.

Escalation risk is rising (35% up from 25%). The US is preparing for an intensification in the conflict —additional offensive and defensive assets are being deployed to the region. While no decision has been made, there is the potential for a US-driven escalation after the midterm elections.

In addition, there is a heightened risk that Iran escalates the conflict, either before or after the midterms, in order to undermine recent US success in the Strait of Hormuz (see: [High oil prices to persist despite Hormuz progress](#) , 5 October 2026). These factors warrant an increase in the risk that the conflict intensifies sharply, in a way that leads to a larger market disruption and higher oil prices.

A return to active bombing could tempt President Donald Trump, particularly if oil flows falter. After actively planning for heavy strikes in late summer (see: [Iran war escalation & energy implications](#) , 29 July 2026), the US shifted to a wait-and-see strategy that included increasing economic pressure on Iran and redoubled efforts to move oil out of the strait. These tactics have yielded positive results—Iran is under greater economic strain, and regional flows have recovered to nearly prewar levels, though prices have yet to come down.

Trump may nevertheless see reason to go on the offensive to significantly degrade Iran's military capabilities, or force additional concessions in negotiations. Regional energy flows will be the key signpost: if flows fall, pressure on the US to escalate will grow.

US could launch limited strikes to maintain momentum in the strait. Escalation continues to carry considerable risks, as Iran retains the ability to target sensitive regional infrastructure as well as US

bases. A major bombing campaign targeting Iran's missile stockpiles and nuclear sites, which was considered in the late summer, would trigger an intense Iranian retaliation and move oil prices above their current \$90-\$110 per barrel range for Brent.

If the US resumes active military operations, it may focus on Iranian capabilities in the Gulf, hitting targets along Iran's coastline to further degrade its ability to harass shipping. Such a campaign could help the US maintain its current success at escorting shipping through the strait. US action along these lines would trigger Iranian retaliation, but likely not lead to a re-intensification of the conflict, mirroring past tit-for-tat exchanges that have recurred since the first ceasefire in April.

Short of escalation, US will maintain posture in the strait and continue its pressure campaign. While expensive, complex, and risky, the US-backed escort system has succeeded in moving large amounts of crude oil out of the region. The US can maintain its current posture, though the number of assets used to safeguard shipping deprives the US of resources to deploy elsewhere. The sanctions campaign, "Operation Economic Outcast" will continue to squeeze Iran's flagging economy, but absent aggressive US action against China, Iran's largest trading partner, it is unlikely to deliver enough of a blow to compel Iran into making major concessions.

Economic stress motivates Iran to seek a deal, but likely won't motivate major shifts in its negotiating position. Iran's position has weakened since June. Its efforts to keep Hormuz closed have failed; its leverage over the US has consequently diminished; and its chances of forcing the US into a deal that meets all its demands appear slim. Meanwhile, Iran's domestic economic woes continue to intensify, oil exports have fallen to zero, and Iranian oil on the water has steadily declined.

Iran is not looking for a return to more intense hostilities. The regime views this conflict as a long-term, attritional struggle. It will continue to contest the strait with more aggressive attacks on shipping—the number of attacks has increased in the last two weeks—and will explore ways to disrupt regional flows and keep prices high.

Potential avenues for expanded attacks include missile or drone attacks on ships inside the Persian Gulf or operating in the Gulf of Oman, or using proxies in Iraq or the Houthis in Yemen to target regional infrastructure.

Talks are likely to remain stuck. Diplomacy has not broken down, with Iran and the US exchanging proposals following an indirect meeting in New York on the sidelines of the UN General Assembly in late September. While Iran has shown a degree of flexibility over discussing nuclear issues and may be dropping its demand that ships pay tolls for safe passage in the strait, progress in talks remains slow and the lack of urgency on the US side makes a dash toward a deal remote (10%, down from 15%).

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